



Does Couponing Always Make Cents?

The Procter & Gamble company hates me.

Alright, I'll concede they might not hate me, personally, but their intention in dispersing coupons for their products is not to ensure that consumers like me can regularly fill their shopping carts with free merchandise.

In 1996, around the time Procter & Gamble conducted their "zero-coupon" experiment in upstate New York, the *Supermarket News* quoted their president and chief operating officer Durk Jager, as saying "We decided coupons have to go," in regards to the inefficiency of couponing as a promotional tool.

"They encourage switching/promiscuity, and thus over time can reduce brand loyalty," he elaborated in an e-mail to *Ad Age* magazine. "They commoditize categories, since the value of the deal gets greater prominence than the brand itself. They irritate non-coupon users."

Executives at Procter & Gamble have long held this kind of love-hate relationship with coupons. Still, it wasn't until October 2010 that I noticed changes in the Procter & Gamble newspaper coupon insert that suggested